

Internal Policies & Procedures Handbook

Effective March 1, 2025 (Supersedes Version 6.0, dated September 2022)

1. Code of Conduct

All CRCG staff are expected to act with integrity, independence, and professionalism in every client interaction. This Code of Conduct was last substantively revised in March 2025 under the sponsorship of Rowan Mackeson, VP People & Talent, replacing the prior version dated September 2022. Material changes in this revision include an expanded conflicts-of-interest disclosure requirement and a new section on the use of generative AI tools in client deliverables (Section 6).

2. Engagement Staffing Policy

- Every client engagement must have a named Engagement Lead at the Senior Engagement Partner or Engagement Manager level, accountable for delivery quality and engagement economics.
- Strategic-tier client engagements require partner involvement of at least 15% of total engagement hours throughout delivery, not solely during sales.
- Engagement teams should maintain a target ratio of no more than 3 Business Analysts or Consultants per Senior Consultant.
- Cross-office staffing (e.g., a Toronto-based consultant supporting a Chicago-led engagement) requires Engagement Lead approval and must be noted in the resource allocation tracker.

3. Billing Rate Governance

Standard billing rates are reviewed annually by the Finance & Controller function and approved by the CEO. Current standard billing rates by role are maintained in the Employees workbook (CRCG_People_Resources.xlsx) and may not be discounted by more than 10% without Senior Engagement Partner approval, or more than 20% without CEO approval. Rate cards are denominated in USD; Toronto- and London-based staff billing on USD-denominated engagements are billed at the standard USD rate without FX adjustment, per Finance policy FIN-014.

4. Travel & Expense Policy

- Economy class air travel is standard for flights under 5 hours; premium economy is permitted for flights exceeding 5 hours when traveling to a client site.
- Daily meal per diem is capped at \$85 USD domestic and \$110 USD international, reconciled against actual receipts where the per diem is exceeded by less than 15%.
- Client-site travel must be pre-approved by the Engagement Lead and, for Strategic-tier accounts, copied to the relevant Senior Engagement Partner.
- Mileage reimbursement follows the current IRS standard mileage rate, updated annually each January.

5. Conflicts of Interest

Staff must disclose any financial interest, board position, or close personal relationship that could reasonably be perceived to compromise CRCG's independence with respect to a client or prospective client. Disclosures are reviewed by the Risk & Compliance practice lead and, where material, escalated to the CEO. Engagement teams working on Risk & Compliance engagements for regulated financial institutions (e.g., Meridian Trust Bank) are subject to enhanced disclosure requirements under Section 5.2, including disclosure of any personal banking relationship with the client.

6. Use of Generative AI Tools in Client Deliverables

Effective with this March 2025 revision, staff may use approved generative AI tools to accelerate drafting of internal working documents (e.g., first-draft process maps, meeting note summarization), subject to the following constraints:

- 1 No client-confidential data may be input into any generative AI tool that has not been approved by the IT Security function and covered by an appropriate data processing agreement.
- 2 All AI-assisted analytical outputs (e.g., model outputs, forecasts, risk scores) included in client deliverables must be reviewed and validated by a CRCG consultant before client presentation.
- 3 Client deliverables must not represent AI-generated analysis as independently human-verified unless that verification has, in fact, occurred.

7. Data Security and Client Confidentiality

All client data must be stored within CRCG's approved cloud environment; local storage of client data on personal devices is prohibited. Engagement teams must complete a Data Handling Plan for any engagement involving regulated data categories (PHI, PII, or financial account data), reviewed by IT Security prior to data access. This requirement applied to the NovaHealth Clinical Data Interoperability Program (PHI) and the Meridian Trust Bank Operational Risk Controls Uplift (financial account data).

8. Performance Review Cycle

CRCG operates a semi-annual performance review cycle (April and October), with promotion decisions made following the October cycle and effective each January 1. Engagement Leads provide structured engagement feedback within two weeks of an engagement's close-out; this feedback feeds into the review cycle alongside practice-lead assessment.